FAMILY BUSINESS
CFO, Fulmonte Fruit Company
PRIVATE INFORMATION

Fulmonte is the world's premier juice company. It owns millions of acres of farms, has a near monopoly in many markets and its brand name is synonymous with good quality juice, party due to your financial management. One of the perennial problems with the juice market is that the products were uneven – some great, some not so great. This is true especially for airlines, restaurants and other outlets that served the public. Your juice is very consistent in quality, and the market loves consistency.

Recently your company found out about a little known patent awarded to one of the owners of a small, gourmet juice company, The Leslie Moore Gourmet Fruit Juice Company ("Gourmet Co.) that could have a major impact on your profits. Of the $16.2 billion in total company costs, about 75 percent, or $12 billion, is for cost of goods sold, of which $8 billion is for the fruit itself. Since the patent extends the juice output by 3% without any increase in cost of goods, it adds $240 million per year to the gross margin. But the new process adds 1% to the operating costs of $3 billion, or $30 million. And it would also take about $175 million in retooling to accommodate the extra juice worldwide in your factories, costing $20 million per year in debt service for life of patent, about 20 years. Total additional costs, $50 million per year.

Thus your pre-tax profit would be $190 million per year. With a tax rate of 35%, this would represent a whopping net income rise of $123.5 million, or 11.2%. Since your P/E ratio is 9, the new technology would represent about $1.1 billion in extra value to your company. Actually, the numbers would be somewhat different because you anticipate cutting your price 10% to be even more competitive, but you expect to make it up on volume and increased market share. But these numbers are in the ballpark.

At first glance it seems like there would be bidding war for this patent. But you doubt that any of the 30 companies that own the other 35% of the market could afford to buy the patent or carry the extra operating costs. You suppose several could get together and license the technology together, however. A smart investment banker who rolled up rest of the industry could present a credible threat. So you want to move quickly here.

But the Moore family is a mess. The founder is pigheaded, the accountant and lawyer are social climbers and status-seekers and the inventor, the only one worth anything, is hard to separate from the rest. You have to win over the founder, but the asking price is much more than you are willing to pay. You have to somehow get them to understand that the company is not worth all that much to you. As a gourmet juice company, it has a limited market and the fit is not very good with yours, although it is amusing and does spin off cash. It's the technology for juice extraction that you're really after.

You are really not crazy about preserving the Gourmet Fruit Company. As far as you're concerned, it's worth more dead than alive. You'd like to sell the assets, use them in part to finance the re-tooling for the new technology and then provide some marketing funds to switch customers from the current gourmet brand of the Moore Family. You could pay, you think, up to $300 million for the company, because it has a significant amount of assets you could sell off. You are not totally against keeping the gourmet juice company running for awhile, but you would never bring that up in the negotiation and you don't want to make any long term commitments. Moreover, the founder is going to have to have a much better attitude. You understand that the Moore accountant is interested in advancing in a career, and you may have some leverage there. You really don't need this company, but it is interesting and you agreed to meet.

FAMILY BUSINESS

General Information

The Leslie Moore Gourmet Fruit Juice Company ("Gourmet Co.") has produced gourmet fruit juices for 51 years. The founder, Les Moore 3rd, started the company while a college senior and gradually built it from a kitchen table avocation in a Philadelphia apartment into a multimillion-dollar business in several countries: the U.S., Japan, Britain, Germany, Canada, Australia, France and Sweden. The company uses the best fruits to produce juices rich in flavor and filled with pulp. Its "Field Fresh" brand is a staple at gourmet stores and high-end supermarkets. Diplomats and the well-to-do even buy the strawberry juice or peach juice to take home to their families in emerging markets.

Gourmet Co.'s market niche stands in sharp relief to the processed, homogenized, pulpless juices of the major companies. In fact, Gourmet Co. has sustained its competitive advantage because none of the major companies want the niche. The upside profits are limited because the costs and prices are relatively high. The big companies have focused on supplying more standardized juice to more customers worldwide, using processing technology, superior distribution and significant brand marketing.

But something has happened in the past year at Gourmet Co. The founder's oldest child, Les Moore 4th, who went to Cal-Tech, has developed a new patented process that greatly increases the juice yield from fruit, keeping a significant part of the flavor and some of the pulp at a much lower production cost. The juice does not have the lip smacking quality of the traditional product, but it could be called upscale, and the volumes that could be produced are now significantly larger. The technology adds about 3 percent to the amount of juice that can be extracted from a given volume of fruit.

This `change has attracted a major potential buyer, Fulmonte Fruit Co., which has made an offer for Gourmet Co. lock, stock and barrel. Fulmonte appears only interested in the new patent; it would probably want to toss out the rest of Gourmet Co. In fact, Fulmonte doesn't think it has much use for Gourmet Co.'s distribution either. The quality of the new product would be sufficiently reduced to eliminate much, but not all, of the interest from the gourmet market. Rather, Fulmonte plans to use the technology to upgrade its general product line mostly for supermarket consumption. Fulmonte probably made a major strategic blunder by telling this to Les Moore 3rd at a meeting last week, prompting an angry refusal by the founder to sell the technology separately and threatening not to develop the technology at all. The founder is 73 years old.

Les Moore 3rd's three children work in the family business. Besides Les Moore 4th, there is Jean, an attorney who graduated from Penn Law School, and Drew, who handles the accounting and has a degree from a two-year program at Camden County Community College. The four family members are preparing to negotiate with Fulmonte's CEO, general counsel, chief financial officer and chief scientist.

Gourmet Co. last year had $27.5 million in net profits on $132 million in revenues. There has been a steady increase of all significant financial parameters of about 10 percent annually in each of the last five years. The company has about $15 million in cash, no debt and a plant appraised at $17 million. Inventories are $13.5 million and trucking and other distribution assets are $11.2 million. There are 8,400 customers on Gourmet Co.'s computer database. There are 427 employees. The Founder owns 50 percent of the stock, Les Moore 4th owns 25 percent and each of the other siblings owns 12.5 percent. There is a noncompete clause for the patent; it cannot be sold without the approval of a majority of the company's stockholders.

Fulmonte, with net income of $1.1 billion on sales of $17.3 billion, has offered $165 million in cash and $35 million in stock options for Gourmet Co. Fulmonte has 65% of the juice market, 30 other companies share the other 35%. Last week the founder turned Fulmonte down flat by demanding $650 million all cash. Although Fulmonte's leadership thinks it's a lost cause, Les Moore 4th and Fulmonte's chief scientist have developed a friendship and have persuaded both parties to come to a meeting to discuss things.

The Wall Street Journal –Tropicana Juice Patent Is Set Down
Tuesday, September 10, 2002
By Betsy McKay

The U.S. Patent and Trademark Office dealt Tropicana Products Inc. a setback over the exclusive use of a technology for blending oranges in the company's best-selling orange juice.

In a ruling that the PepsiCo Inc. unit's lawyers received yesterday, the patent office said it rejected a claim on a November 2000 patent awarded to Tropicana. The federal agency said the technology that the juice producer had wished to patent is in fact a common practice in the juice business.

The patent had granted Tropicana exclusive use of four new varieties of oranges in making its Pure Premium orange juice.

Tropicana, Bradenton, Fla., said it would appeal the decision.

In its finding, the patent office appeared to agree with a Florida growers' association, Florida Citrus Mutual, which had argued in a complaint that blending orange juice-mixing together the juices of different varieties of oranges is a common art.

"Blending of oranges has been a common practice for decades, and this decision is merely a recognition of that fact," said Steven Gold, an attorney with the law firm of Akerman, Senterfitt & Eidson. Mr. Gold represents Florida Citrus Mutual, which is based in Lakeland, Fla.

A spokeswoman for Tropicana, Kristine Nickel, noted that the company's patent still stands, pending Tropicana's appeal. "The action by the patent office isn't at all unusual," she said. "We anticipate when all is concluded that the patent will be upheld."

A spokeswoman for the patent office confirmed that the patent still stands and said Tropicana can appeal all the way through the court system.

The four new varieties of oranges, cultivated in Brazil and then adapted for use in Florida, offer cost savings both to citrus growers and producers of not-from concentrate juice, which is pure juice that hasn't been reconstituted from concentrate. The oranges offer a better-quality orange than is currently available in the early picking season, from October through July.

Normally, to maintain consistent color and flavor year round, juice producers must blend fresh juice from early-season oranges, which are pale in color, with more brightly colored, sweeter Valencia juice that is stored from the previous growing season. The new oranges therefore allow producers to save on the cost of storing Valencia juice, and growers can sell them at a premium to producers because they are of higher quality than other early-season oranges.

The Tropicana patent had limited growers of the new oranges to one buyer. Now, if the patent office's decision is upheld following Tropicana’s appeal competitors in the not-from-concentrate juice business are likely to use the new oranges, too.

Steve Caruso, chief executive of Citrus World Inc., owner of Florida's Natural orange juice, said his company would like to use the oranges, but that it would take a. few years before growers in Citrus World's cooperative have enough for processing.